better light. It was a disaster. The point is that people planted seeds for great fortunes then. It may seem obvious that lower prices, as found in such disasters, create “easier” opportunities to make hundredfold returns.

But bad times discourage people from investing. I’ve seen it happen.

In 2008, when the stock market tanked, many people I know were afraid to invest.

Pull this chapter out when the market crashes.

Marty Whitman: On Market Comebacks

Marty Whitman, who managed the Third Avenue Value Fund, wrote a letter to his shareholders about “market comebacks” as the whole 2007-2008 crisis unfolded. In that letter are some wise ideas.

First, Whitman makes a general comment that seems reasonable enough: “General markets tend to come back strongly in periods subsequent to price crashes! That was the case in 1932, 1937, 1962, 1974–75, 1980–82, 1987 and 2001–2002. A comeback also seems likely after the unprecedented crash of 2007–2008.”

Okay, so far, we can all agree. But here’s the hitch for investors in stocks. Not all stocks are likely to come back. This is where the letter gets interesting. Whitman identifies three types of stock unlikely to participate to any extent in any price comeback.

The first category includes stocks that were grossly overpriced to begin with. If you paid stupid prices for your stocks, this is where that mistake will cause you pain. Otherwise, price declines should by themselves deter you from keeping a stock. Whitman makes the point that many of his stocks increased in net asset value (NAV) despite the fact that most of these stocks “declined by 30% to 70% in 2008.” Whitman believed many of his stocks could triple or quadruple and still trade cheap relative to N AV.

If you have a legit 100-bagger candidate, the same could easily be true.

The second type of stock unlikely to recover is one that suffers a “permanent impairment.” The ultimate permanent impairment is when a firm goes out of business. But it could also be a significant loss.